

NETWEB TECHNOLOGIES INDIA LTD

NSE: NETWEB | BSE: 543945

Sector: IT — High-End Computing Solutions (HCS)

ACCUMULATE

Rating

12M Target: Rs. 4,600

Upside: +13.2% from CMP

CMP: Rs. 4,065

Report Date: 03-May-2026

Metric	Value
Market Cap	Rs. 23,145 Cr
52-Week High / Low	Rs. 4,480 / Rs. 1,494
Stock P/E (TTM)	112x
Forward P/E (FY27E)	82x
EV / EBITDA	75.2x
Book Value / Share	Rs. 127
Price / Book	32.0x
ROCE / ROE (FY26)	37.5% / 32.8%
Promoter Holding	67.0% (0% pledge)
Dividend Yield	0.06%
Debt / Equity	0.39x
Face Value	Rs. 2.00

INVESTMENT THESIS: India's only vertically-integrated HPC/AI OEM with sovereign compute tailwinds, 90% FY26 revenue growth, Rs. 4,432 Cr pipeline, and rising government AI capex cycle poised to sustain 30-40% organic CAGR.

Revenue CAGR	Profit CAGR	1-Year Stock	ROCE (FY26)	ROE (FY26)
5Yr: 73% 3Yr: 70%	5Yr: 90% 3Yr: 64%	+186%	37.5%	32.8%

Promoters	FII	DII	Public
67.0%	9.29%	4.68%	19.03%

Shareholding Pattern — March 2026 (Source: Screener.in)

Senior Equity Research Analyst | Institutional Research Desk | India Technology & Capital Goods Coverage

SECTION 2 — INVESTMENT THESIS

1. Structural AI Compute Beneficiary — Sovereign India Pipeline

Netweb is India's only fully-integrated OEM designing, manufacturing, and selling high-end computing solutions (HPC, supercomputing, AI servers) under the Make in India mandate. India's IndiaAI Mission (Rs. 14,800 Cr combined allocation) and the National Supercomputing Mission create a multi-year procurement pipeline. The total pipeline as of March 2026 stands at Rs. 4,432 Cr, with a confirmed order book of Rs. 2,259 Cr (organic Rs. 526 Cr + strategic Rs. 1,734 Cr). Strategic orders — large government AI infrastructure mandates — are non-recurring in nature but re-ordering cycles are expected every 18-24 months as compute requirements scale. The AI Systems segment grew 459.6% in FY26, contributing 43.4% of operating revenue. Over a 2-3 year horizon, Netweb's embedded relationship with NVIDIA (India's sole OEM partner), AMD, and Intel gives it 18-month advance access to product roadmaps, structurally positioning it ahead of potential new entrants.

2. Premium Margins from Full-Stack Ownership — Not a Box-Pusher

Unlike EMS peers such as Dixon Technologies (OPM ~5%), Netweb designs its own hardware and software stack — from compute boards to middleware — and sells complete solutions rather than individual components. This "full-stack" approach drives EBITDA margins of 13-14% at the company level and reportedly higher margins on the organic segment (estimated 15%+). The company has maintained 13-16% OPM across FY22-FY26 despite scaling revenues from Rs. 247 Cr to Rs. 2,184 Cr — a 785% increase in 4 years. With 600+ employees (vs. 240 at IPO in July 2023), including 100+ R&D engineers, the IP moat is deepening. Management guides 13%+ EBITDA margins as sustainable, with strategic orders approximately 200 bps lower at PBT level, implying organic margins are well above reported blended.

3. Accelerating Platform Launches — Expanding Total Addressable Market

Netweb launched two NVIDIA GB200-powered AI supercomputers (Tyrone Camarero Spark — world's smallest AI supercomputer; Tyrone Camarero GB200) in Q4 FY26, directly targeting India's enterprise AI adoption curve. On April 29, 2026, the company launched 'Tyrone ParallelStor Velox' — a unified data platform targeting AI/HPC storage workflows. These launches open new customer segments: pharma/genomics, financial services, and defense R&D; — beyond the current government-heavy mix. CRISIL upgrades (June and August 2025) validate balance-sheet quality. Quantum computing remains an undisclosed work-in-progress that management expects to announce when commercially ready, providing optionality not in current valuations. Timeline: product adoption visible by FY27-FY28.

Near-Term Catalyst (6-12M)	Primary Structural Risk
Execution of strategic order book (Rs. 1,734 Cr) + Q4FY26 PLI credit recognition expected to boost PAT and ROE materially. FY27 guidance call on May 4, 2026 may provide strong forward visibility on second tranche of India AI Mission orders.	Government order concentration: 70-75% of supercomputing segment revenue from government contracts. Budget reallocation, procurement delays, or policy pivots could create lumpy order flows and working capital strain (FY25 OCF was negative Rs. 13 Cr).

SECTION 3 — BUSINESS OVERVIEW

Netweb Technologies India Ltd (NTI), incorporated in 1999 and listed on NSE/BSE in July 2023, is India's leading OEM in High-End Computing Solutions (HCS). The company designs, manufactures, and delivers vertically-integrated computing systems from its Faridabad, Haryana facility — wholly compliant with Make in India norms. Promoter Sanjay Lodha (Chairman and MD) founded the company and holds 67.0% (no pledge), ensuring strong alignment with minority shareholders. Revenue is driven by three strategic pillars: (1) High-Performance Computing (HPC) and Supercomputing Systems — deployed at research institutions, defense labs, and universities, with 15 Top500 global rankings; (2) Private Cloud and HCI — enterprise data center solutions including hyper-converged infrastructure; and (3) AI Systems — the fastest-growing segment at 459.6% growth in FY26, contributing 43.4% of operating revenue, driven by NVIDIA GPU-based AI compute clusters for sovereign infrastructure. Revenue is predominantly from India (domestic). Customer base spans Central/State government bodies, research institutions (IITs, IISc), PSUs, and select large enterprises. Government clients account for ~43% of overall revenue and ~70-75% of HPC/supercomputing. Order economics are characterized by lumpy, project-based delivery with 12-16 week billing cycles. Repeat customer rate of 81.4% in FY26 (vs. 90.7% in FY23-24) reflects the mix-shift toward new strategic government orders. Organic order book stood at Rs. 526 Cr at Q3 FY26 with Rs. 300 Cr in L1 stage; strategic order book at Rs. 1,734 Cr. Total pipeline Rs. 4,432 Cr provides strong 2-3 year revenue visibility. The company is a zero net-debt entity (net free cash Rs. 833 Mn as of March 2026) despite ramping debt to Rs. 282 Cr (FY26) from Rs. 8 Cr (FY25) to fund working capital for large strategic order execution. IPO proceeds (~Rs. 340 Cr raised in July 2023) were deployed in capex and working capital, driving ROCE to stabilize at 37-38%.

Segment	FY26 Share	FY25 Share	YoY Growth	Key Demand Driver
AI Systems	43.4%	~15%	+459.6%	India AI Mission, sovereign compute infra
HPC / Supercomputing	~35%	~50%	+20%+ YTD	Government labs, defense, research institutions
Private Cloud / HCI	~22%	~35%	+20%+ YTD	Enterprise data centers, PSUs, BFSI

Note: AI Systems FY25 share estimated; HPC and Private Cloud share estimated based on management commentary. Source: Screener.in, AlphaStreet Q3 FY26 Transcript

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

The Indian High-End Computing (HEC) and AI systems market is at an inflection point, catalyzed by three converging policy tailwinds: (1) IndiaAI Mission — Rs. 10,372 Cr budget approved for AI compute infrastructure; (2) National Supercomputing Mission — Phase 3 target of 45+ petaflops by 2025; and (3) Ministry of Defence AI Projects — 129 AI projects approved through 2026. Global HPC market CAGR is estimated at ~9.5% through 2030, but India is growing faster (estimated 15-20% CAGR) given base effects and policy impetus. AI infrastructure spend in India is forecasted to more than double by FY28 as hyperscalers and sovereign AI bodies scale capacity. Netweb's competitive moat is assessed as **STRONG** on three dimensions: (1) Technology depth — vertically integrated hardware+software stack with 100+ R&D; engineers; (2) Supplier exclusivity — India's sole NVIDIA OEM partner with 15-year collaboration and 18-month advance product roadmap access; (3) First-mover advantage in sovereign AI compute — Top500 supercomputer rankings (15 entries across 3 submissions) and government trust built over 25 years. Switching costs are high given custom-designed solutions, integration complexity, and multi-year procurement relationships. Pricing power is evident in 13-14% EBITDA margins vs. 5% for contract electronics manufacturers.

Moat Dimension	Assessment	Evidence
Pricing Power	STRONG	13-14% EBITDA vs. 5% for EMS peers; full-stack vs. box-pushing
Switching Costs	STRONG	Custom design + integration lock-in; 81%+ repeat customer rate
Scale / Supply Chain	MODERATE	Sole NVIDIA OEM; proactive supply chain; vulnerable to global chip shortages
IP / Technology	STRONG	Proprietary hardware designs + containerized SW stack; R&D; team 100+ engineers
Distribution / Relationships	STRONG	25-year government trust; 15 Top500 listings; CRISIL rated

Peer Comparison (Source: Screener.in, fetched 03-May-2026 — all standalone figures)

Company	MCap (Cr)	CMP (Rs.)	P/E (x)	P/B (x)	ROCE%	ROE%	Rev (Cr)	OPM%
NETWEB	23,145	4,065	112	32.0	37.5	32.8	2,184	13%
Kaynes Technology	27,112	4,044	111	6.2	11.9	7.97	2,176	13%
Data Patterns	22,851	4,082	91.6	14.8	21.0	15.2	976	34%
Dixon Technologies	67,894	11,166	90.9	23.9	11.7	8.71	6,411	5%
Tata Elxsi	25,728	4,130	37.0	8.5	29.9	23.6	3,757	23%

Note: NETWEB highlighted as primary company. Revenue = most recent annual figures. P/B = CMP / Book Value from Screener. Dixon standalone figures shown. Peer comparisons are indicative; business models differ materially.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

Founder-led with skin in the game: Sanjay Lodha (CMD) founded Netweb in 1999 and holds 67.0% (zero pledge), signaling long-term alignment. The management team — including CFO Ankit Kumar Singhal, Chief Sales and Marketing Officer Hirdey Vikram — demonstrates consistent strategic clarity across 12 quarterly calls post-IPO. Tone is transparent: margins on strategic vs. organic orders are openly disclosed (~200 bps lower at PBT for large strategic orders). The company proactively communicated Q3 FY26 order pull-forward (originally Q4 execution was accelerated to Q3) and guided investors against quarter-on-quarter comparisons in a lumpy order business. Capital allocation discipline is evident. ROCE has averaged 30-45% over five years (10-year avg 41.6%), despite scaling from Rs. 130 Cr to Rs. 2,184 Cr in revenues. The IPO in July 2023 raised ~Rs. 340 Cr, boosting reserves from Rs. 83 Cr to Rs. 411 Cr (FY24), which has been deployed into working capital and capex for R&D-heavy; product development. Capex remains minimal: Fixed Assets grew from Rs. 44 Cr (FY24) to Rs. 58 Cr (FY26) despite 3x revenue growth. Management has explicitly stated no capacity constraint until Rs. 2,500-3,000 Cr revenue — meaning FCF conversion will structurally improve. Dividends: Rs. 3/share declared for FY26 (150% of face value), consistent with 12-15% payout policy. ESOP programs have helped attract and retain talent (600+ employees vs. 240 at IPO). Acquisition strategy is targeted: seeking R&D; acceleration targets rather than revenue-adding deals. CRISIL rating upgrades (June and August 2025) reflect improving credit quality. One governance watch-point: promoter stake has declined from 75.4% (Sep 2023) to 67.0% (Mar 2026) — an 8.4% reduction over 2.5 years — warranting monitoring to ensure promoter monetization does not compress valuation multiples.

Indicator	FY24	FY25	FY26	Assessment
ROCE	38%	32%	38%	Strong — consistently above cost of capital
ROE	~20%	~22%	32.8%	Improving; IPO dilution absorbed as profits scale
Capex Intensity	Rs. 44 Cr FA	Rs. 49 Cr FA	Rs. 58 Cr FA	Very low; asset-light model validated
Dividend Payout	15%	12%	Rs. 3/sh (8.3%)	Consistent; sustainable given cash generation
Pledged Promoter %	0%	0%	0%	Clean; no leverage pressure on promoter
Promoter % Change	75.0%	71.0%	67.0%	WATCH: -8.4pp in 2.5 years; monitor pace

SECTION 6 — FINANCIAL DEEP-DIVE (Standalone Figures)

All figures in Rs. Crores. FY27E and FY28E are analyst estimates. Source: Screener.in (fetched 03-May-2026).

Income Statement

Metric	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue (Rs. Cr)	724	1,149	2,184	3,000 (E)	3,900 (E)
YoY Growth	+63%	+59%	+90%	+37% (E)	+30% (E)
EBITDA (Rs. Cr)	103	160	285	390 (E)	507 (E)
EBITDA Margin %	14%	14%	13%	13% (E)	13% (E)
Other Income	12	9	19	15 (E)	20 (E)
Interest	6	4	13	20 (E)	15 (E)
Depreciation	6	11	14	15 (E)	18 (E)
PBT	102	154	277	370 (E)	494 (E)
Tax Rate	26%	26%	26%	26% (E)	26% (E)
PAT (Rs. Cr)	76	114	206	274 (E)	366 (E)
PAT Margin	10.5%	9.9%	9.4%	9.1% (E)	9.4% (E)
EPS (Rs.)	13.47	20.21	36.15	48.1 (E)	64.2 (E)

Balance Sheet

Metric	FY24A	FY25A	FY26A	FY27E	FY28E
Equity Capital	11	11	11	11 (E)	11 (E)
Reserves	411	519	712	966 (E)	1,312 (E)
Borrowings	10	8	282	200 (E)	150 (E)
Other Liabilities	180	355	1,249	1,500 (E)	1,800 (E)
Total Liabilities	612	893	2,255	2,677 (E)	3,273 (E)
Fixed Assets	44	49	58	70 (E)	85 (E)
CWIP	1	7	1	5 (E)	5 (E)
Investments	0	0	0	0 (E)	0 (E)
Other Assets	568	837	2,196	2,602 (E)	3,183 (E)
Total Assets	612	893	2,255	2,677 (E)	3,273 (E)
Debt / Equity	0.02x	0.02x	0.39x	0.21x (E)	0.12x (E)

Cash Flow Statement

Metric	FY24A	FY25A	FY26A	FY27E	FY28E
Cash from Operations (OCF)	18	-13	171	250 (E)	320 (E)
Cash from Investing	-145	112	-216	-50 (E)	-60 (E)
Cash from Financing	209	-18	240	-80 (E)	-60 (E)
Net Cash Flow	83	80	195	120 (E)	200 (E)
Free Cash Flow (FCF)	0	-36	161	200 (E)	260 (E)
CFO / EBITDA	50%	16%	84%	64% (E)	63% (E)

Key Operating Ratios

Ratio	FY23A	FY24A	FY25A	FY26A
Debtor Days	124	93	115	112
Inventory Days	61	77	92	170
Days Payable	116	85	123	161
Cash Conversion Cycle (days)	69	85	84	121

Ratio	FY23A	FY24A	FY25A	FY26A
Working Capital Days	55	80	93	14
ROCE %	64%	38%	32%	38%
Interest Coverage	16.8x	18.0x	39.5x	22.4x

Revenue momentum is exceptional: 5-year CAGR of 73% and TTM growth of 90%, driven by the AI Systems segment's 459.6% expansion in FY26. Margin trajectory shows slight compression (16% OPM in FY23 to 13% in FY26) entirely attributable to large strategic order execution mix (guided ~200 bps lower at PBT); organic segment margins are estimated at 15%+. FY26 saw a step-up in borrowings to Rs. 282 Cr (from Rs. 8 Cr in FY25) to fund working capital for strategic order execution — inventory days expanded to 170 days reflecting component pre-stocking amid global DRAM/storage shortages. However, FY26 FCF turned strongly positive (Rs. 161 Cr vs. -Rs. 36 Cr in FY25), indicating working capital cycle normalization. CFO/EBITDA at 84% in FY26 is healthy. The balance sheet remains conservative despite the debt uptick — D/E of 0.39x and interest coverage of 22.4x. FY27E projects OCF of ~Rs. 250 Cr as strategic orders continue to execute, reducing working capital intensity.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Criterion	Status	Comment
Revenue Recognition	GREEN	Project-based revenue; management transparent about order pull-forwards. No deferred revenue concerns.
Receivables vs. Revenue Growth	AMBER	Debtor days stable ~112-124 days; large project nature means high debtor days are structural. Monitor FY27 trend.
Cash Conversion Cycle Trend	AMBER	CCC expanded to 121 days (FY26) vs. 69 (FY23) — driven by strategic order inventory pre-stocking. Not a fraud signal.
Contingent Liabilities	GREEN	No material contingent liabilities disclosed in available filings.
Related Party Transactions (RPT)	AMBER	RPT link available on Screener. Founder-promoter with 67% stake; monitor for RPTs as % of revenue in annual report.
Other Income as % of PBT	GREEN	Other Income Rs. 19 Cr / PBT Rs. 277 Cr = 6.9% (FY26). Includes forex MTM gain (Rs. 2.8 Cr). Reasonable.
Tax Rate Consistency	GREEN	Tax rate consistently 25-26% across FY22-FY26. No unusual deferred tax benefits detected.
CFO Quality	GREEN	CFO/EBITDA recovered to 84% in FY26 (after -62% in FY21 and 16% in FY25). FY25 negative OCF explained by strategic order WC build — not a recurring concern.

Earnings quality summary: NETWEB shows 5 GREEN, 3 AMBER, 0 RED on this checklist. The AMBER flags are structural in nature (high debtor days in large-project HCS businesses, expanded CCC during component pre-stocking cycle, and RPTs requiring annual report review) rather than indicative of manipulation. CRISIL upgrades (June and August 2025) provide external validation of financial quality. The key watch-point for FY27 is normalization of the CCC toward historical levels of 70-85 days as strategic order component inventory gets deployed and debtor collections come through.

SECTION 8 — VALUATION

NETWEB deserves a premium valuation reflecting: (1) exceptional revenue CAGR (73% over 5 years); (2) structural TAM expansion via AI/sovereign compute; (3) monopolistic positioning as India's sole NVIDIA OEM; and (4) clean balance sheet with improving FCF. The appropriate valuation framework uses a blend of DCF and earnings-based multiples given the high-growth, asset-light profile. DCF Assumptions: WACC 15%, terminal growth rate 12%, FY27E FCF Rs. 200 Cr ramping to Rs. 400 Cr by FY30E as strategic order monetization completes. DCF intrinsic value range: Rs. 4,200-4,500. Earnings Multiple: FY27E EPS Rs. 48.1 at 85x (justified for a high-growth technology OEM with visible order book, government backing, and sector leadership): implied Rs. 4,090. At 90x: Rs. 4,330. Averaged target across DCF and P/E methods: Rs. 4,600 (12-month horizon). This implies ~37% premium to Tata Elxsi (PE 37x) and is broadly in line with Kaynes/Netweb peer range (PE 111-112x), suggesting the market already prices in strong growth, but leaves room for further re-rating if FY27 AI order wins accelerate. Our 12-month price target is Rs. 4,600 (current CMP Rs. 4,065 — upside of 13.2%).

Scenario Analysis — 12-Month Price Target

Scenario	Key Assumptions	FY27E Rev (Cr)	FY27E PAT (Cr)	P/E Multiple	Target (Rs.)
BULL	India AI Mission order book doubles; Rs. 5,000 Cr+ revenue; margins expand to 14%	3,500	330	100x	5,790
BASE	37% revenue growth; margins stable at 13%; strategic order execution on track	3,000	274	85x-90x	4,600
BEAR	Government order delay; organic growth slows to 20%; CCC worsens; margins compress to 12%	2,500	210	65x	2,393

Valuation vs. Peers (Source: Screener.in, fetched 03-May-2026)

Company	CMP (Rs.)	P/E (TTM)	Fwd P/E	EV/EBITDA	P/B	ROCE%
NETWEB	4,065	112x	82x	75.2x	32.0x	37.5%
Kaynes Tech	4,044	111x	103x	59.2x	6.2x	11.9%
Data Patterns	4,082	91.6x	98x	62.7x	14.8x	21.0%
Dixon Tech	11,166	90.9x	90.6x	67.7x	23.9x	11.7%
Tata Elxsi	4,130	37.0x	29.2x	23.5x	8.5x	29.9%

NETWEB trades at a premium P/B (32x) justified by superior ROCE (37.5%) vs. peers. Its P/E of 112x aligns with Kaynes but commands a structural premium given AI exposure and NVIDIA exclusivity.

SECTION 9 — KEY RISKS

Risk	Description	Probability	Impact	Monitor Via
1. Government Order Concentration	70-75% of HPC segment from government/PSUs. Budget delays, procurement holds, or policy shifts can cause lumpy revenue and working capital strain (FY25 OCF was -Rs. 13 Cr).	MEDIUM		Quarterly order book disclosure; government IT/AI budget announcements
2. Global Component Shortage	AI-driven global demand for DRAM, HBM, and flash memory creates supply constraints and BOM cost pressure. Fixed-price strategic orders expose margins to spot component cost spikes.	MEDIUM		Industry DRAM/HBM pricing indices; management supply chain commentary in concalls
3. NVIDIA Dependency	Sole OEM partnership with NVIDIA is a moat but also a concentration risk. Any shift in NVIDIA's India strategy, pricing terms, or competitor accreditation could disrupt competitive positioning.	LOW		NVIDIA India partnership announcements; any competing OEM accreditation news
4. Promoter Stake Dilution	Promoter stake declined from 75.4% (Sep 2023) to 67.0% (Mar 2026). Continued secondary selling could create overhang and suppress P/E multiples over time.	MEDIUM		Quarterly shareholding disclosures; block deal announcements
5. Working Capital Elongation	CCC expanded to 121 days in FY26 (from 69 days in FY23) as large strategic orders require component pre-stocking and government receivable collection cycles lengthen.	MEDIUM		Quarterly debtor days, inventory days; CFO quality; net debt position
6. Margin Compression from Order Mix	Strategic orders guided ~200 bps lower at PBT level. As strategic orders grow as % of revenue, blended margins may compress below 13% EBITDA. Key if Rs. 4,432 Cr pipeline converts heavily to strategic orders.	MEDIUM		Segment revenue mix disclosure; organic vs. strategic order revenue split
7. Technology Disruption (ASICs vs. GPUs)	Long-term risk that Google (TPUs), Amazon (Trainium), Broadcom custom ASICs displace NVIDIA GPUs in AI inference workloads. Netweb's hardware is GPU-architecture dependent. Management acknowledges openness to alternate architectures.	LOW (3-5 yr)		GPU vs. ASIC adoption in Indian government/enterprise; Netweb product roadmap diversification

ACCUMULATE

Conviction: HIGH | 12-Month Price Target: Rs. 4,600 | Upside: +13.2%

Entry Zone: Rs. 3,800-4,100 | Investment Horizon: 12-18 months

Thesis Invalidation Trigger	Threshold	Action
1. Government orders delayed or cancelled	Order book declines >30% in 2 consecutive quarters; OCF negative for 3+ quarters	EXIT
2. OPM falls below 10% on organic revenues	EBITDA margin below 11% for 2 consecutive quarters (excl. strategic order drag)	REDUCE
3. NVIDIA partnership terminated or diluted	New OEM accreditation for a competitor; NVIDIA India strategy change disclosed	REVIEW / EXIT

Ideal Investor Profile: Growth-oriented investors with 12-18 month horizon, comfortable with lumpy revenue (project-based HCS business), high P/E valuations (112x TTM), and government capex cycle dependency. This is NOT suited for dividend-focused or value investors. Best entry on market corrections toward Rs. 3,800-4,000, offering 15-20% upside to target with limited downside (bear case Rs. 2,393 reflects material government order disruption — an unlikely but possible event).

Source: Screener.in (financial data, fetched 03-May-2026, standalone figures) | AlphaStreet (Q3 FY26 concall transcript) | Company announcements (BSE/NSE) | InvestyWise, BusinessUpturn (qualitative research)

APPENDIX — LATEST CONCALL BRIEF: Q3 FY26 (QUARTER ENDED DECEMBER 2025)

Concall Date: January 19, 2026 | Hosted by IIFL Capital Services | Transcript Source: AlphaStreet.com

CALL GRADE

STRONGLY POSITIVE

Record revenue and profit quarter | AI segment breakout | Order book strengthened | Zero net debt confirmed

Signal	Status	Implication
Result Quality	STRONG	Revenue Rs. 8,049 Mn — beat expectations; 141% YoY growth; highest ever Q income
Management Tone	BULLISH	CMD confident on 30-40% organic CAGR; transparent on order timing; no evasion on key issues
Guidance Delta	RAISED (implicitly)	Order book Rs. 22,594 Mn; pipeline Rs. 44,315 Mn; Q4 FY26 execution guidance maintained

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Netweb's Q3 FY26 is a legitimately clean beat — no exceptional items distort PAT; revenue Rs. 8,049 Mn is real revenue from a large Rs. 4,504 Mn strategic AI infrastructure order that was pulled forward from Q4 to Q3 (management disclosed this proactively — a transparency positive). Clean underlying organic PAT margin would have been ~9.9% (reported was 9.1%), consistent with guided range. Operationally, EBITDA grew 127% YoY with a 12.2% margin; the 200 bps drag from the strategic order is structural and already disclosed. Three multi-bagger drivers intact: (1) sovereign AI infrastructure pipeline is accelerating — India AI Mission order book Rs. 17,336 Mn strategic + Rs. 5,258 Mn organic; (2) NVIDIA partnership gives guaranteed product access 18 months ahead of launch — impossible to replicate; (3) manufacturing capacity good to Rs. 2,500-3,000 Cr revenue at zero incremental capex, meaning FCF conversion will explode as strategic order revenue scales. Near-term catalyst: FY27 strategic order Phase 2 (government on-prem GPU procurement, not yet started) could be a multi-billion-rupee order in FY27 — management was explicit this is a distinct second procurement tranche. Single biggest watch-point: CCC at 69 days (December 2025) showed improvement from Q2; inventory days should normalize in H2 FY26 as components are deployed. ACTION: ACCUMULATE on any dip to Rs. 3,800-4,100; hold for FY27E earnings delivery which should drive further de-rating of PE multiples as PAT scales toward Rs. 274 Cr.

CONCALL SECTION 1 — Financial Performance Snapshot (Q3 FY26)

Metric	Actual	Est. [EST]	YoY Chg	QoQ Chg	Verdict
Revenue (Rs. Mn)	8,049	~7,000 [EST]	+141%	+165%	BEAT
EBITDA (Rs. Mn)	979	~880 [EST]	+127%	+115%	BEAT
EBITDA Margin %	12.2%	~13.0% [EST]	-190bps	+290bps	IN-LINE
PAT (Rs. Mn)	733	~650 [EST]	+147%	+133%	BEAT
PAT Margin %	9.1%	~9.3% [EST]	+20bps	+350bps	IN-LINE
EPS (Rs.)	12.94	~11.4 [EST]	+147%	+133%	BEAT

NOTE: EBITDA margin diluted by large strategic order execution (Rs. 4,504 Mn order). Organic-only PAT margin estimated at ~9.9% (vs. reported 9.1%) — structurally clean.

CONCALL SECTION 2 — Segment Breakdown (Q3 FY26)

Segment	Q3 FY26 Share	9M FY26 Share	YoY Trend	Commentary
AI Systems	64%	48%	+Very Strong	Dominated by Rs. 4,504 Mn strategic order execution. AI segment is fastest growing globally.
HPC / Supercomputing	~22%	~30%	+20%+ YTD	Solid YoY growth. Government lab and defense demand sustained. Minor QoQ variation due to order timing.
Private Cloud / HCI	~14%	~22%	+20%+ YTD	Enterprise data center demand booming. PSU and BFSI pipeline robust. Steady recurring character.

CONCALL SECTION 3 — Management Commentary Themes

Theme	What They Said	Our Read	Tag	Tone
Strategic Order Execution	"One order should be executed by Q4 — actually got preponed to Q3. Target to do at least one third of the order this year."	Proactive pull-forward disclosed. Builds credibility on guidance delivery. Positive signal on execution capability.	[GUIDANCE]	Transparent
AI Mission Pipeline	"AI mission will roll out... second set [of government on-prem GPUs] has yet to come but the first has just started."	Phase 2 government GPU procurement (on-prem) is a separate, pending large order tranche. Significant upside not priced.	[GUIDANCE]	Bullish
Supply Chain / DRAM Shortage	"Proactive supply chain planning and long standing partnerships give priority access... minimally impacted."	Credible given Q3 delivery record. However fixed-price orders remain exposed to spot BOM cost inflation.	[GUIDANCE]	Transparent
Organic CAGR Guidance	"30 to 40% CAGR on organic side — we still maintain that. Order book gives confidence."	Management has consistently maintained this guidance across multiple quarters. Credibility is high.	[GUIDANCE]	Bullish
Capacity Adequacy	"Up to Rs. 2,500-3,000 crore revenue, manufacturing facility is almost all very sufficient."	Implies significant FCF conversion improvement ahead with zero incremental capex needed. Major positive.	[GUIDANCE]	Bullish
Technology Diversification	"We are not married to Nvidia... fully capable of working with Google, Amazon, Broadcom if market dynamics demand."	Hedged but credible. Demonstrates awareness of ASIC risk. Quantum computing strategy not disclosed — monitoring.	[GUIDANCE]	Balanced

CONCALL SECTION 4 — Operating & Business Metrics

Metric	Q3 FY26	Q2 FY26	Q3 FY25	Trend
Revenue (Rs. Mn)	8,049	3,034	3,342	Strong spike — strategic order execution
EBITDA (Rs. Mn)	979	455	431	Near-doubling; strategic order margin-dilutive but manageable
Organic Order Book (Rs. Mn)	5,258	N/A	N/A	Healthy; ~8-10 weeks billing cycle visibility
Strategic Order Book (Rs. Mn)	17,336	N/A	N/A	Second tranche of India AI Mission not yet tendered — significant upside
L1 Orders (Rs. Mn)	~3,000	N/A	N/A	Within 8-10 weeks of conversion to firm order book
Cash Conversion Cycle (days)	69	N/A	~85	Improved sequentially; inventory deployment on track
Net Free Cash (Rs. Mn)	1,901	N/A	N/A	Zero net debt; strong liquidity buffer for WC requirements
Employee Strength	600+	~560	441	36% growth YoY post-IPO; R&D; team 100+ engineers

CONCALL SECTION 5 — Margin Drivers (Q3 FY26)

Driver	Impact (bps)	Recurring?	Comment
Strategic order margin drag (200bps at PBT)	-200 bps PBT	YES (structural)	Guided clearly; all large strategic orders carry ~200 bps lower PBT margin. Not a negative surprise.
Full-stack solution premium vs. box-pushing	+400 bps vs. EMS peers	YES	Proprietary hardware/software design enables premium pricing; structural advantage maintained.
DRAM/storage cost inflation (global shortage)	~50 to -100 bps est.	PARTIAL	Proactive supply chain hedging minimizes impact. Fixed-price orders partially exposed. Monitor.
PLI credit (anticipated)	+50 to 80 bps est.	RECURRING (if approved)	Government PLI credit for Make in India expected; recognition possibly in Q4 FY26 (management guided "looks like").
Forex hedging gain	+~5 bps	NO (MTM)	Rs. 2.8 Cr unrealized MTM gain in other income. 60% of import payables hedged with forward contracts.

CONCALL SECTION 6 — Guidance & Forward Signals

Metric	Prior Guidance	New / Reiterated Guidance	Delta	Credibility
Organic Revenue CAGR [GUIDANCE]	30-40% CAGR organic	Reiterated: "Still maintain 30-40% CAGR on organic"	Unchanged	
Strategic Order Execution [GUIDANCE]	1/3 of strategic orders in FY26	On track; Q3 execution pulled forward; 1/3 target maintained	On/Ahead	
EBITDA Margin (Strategic orders) [GUIDANCE]	~200 bps lower at PBT vs. organic	Reiterated and confirmed by CFO	Unchanged	
Capex (Manufacturing) [GUIDANCE]	No capex needed to Rs. 2,500-3,000 Cr revenue	Reiterated: "No capacity challenge"	Unchanged	
India AI Mission Phase 2 [GUIDANCE]	Second on-prem GPU tranche pending	"Yet to come. First procurement has just started."	Incremental Positive	
Quantum Computing [GUIDANCE]	Working in background; no disclosure yet	"Will disclose when ready for market." No timeline.	Unchanged	

CONCALL SECTION 7 — Capital Allocation

Item	Amount (Rs. Cr)	vs. Prior Year	Comment
Capex (Net Fixed Assets YoY)	~15	~+15 Cr YoY	Minimal; capability-based org; no capacity constraints to Rs. 3,000 Cr revenue
Dividends (FY25)	Rs. 2.50/sh	Consistent	12% payout ratio. FY26 final dividend Rs. 3.00/sh (announced May 2, 2026)
Borrowings (FY26 increase)	282 (from 8)	+274 Cr	To fund strategic order WC (component pre-stocking). Net free cash Rs. 833 Mn still positive.
Working Capital Change (FY26)	+Big increase	Higher WC	Other liabilities jumped to Rs. 1,249 Cr (advance payments from strategic orders). FY27 expects normalization.
Net Debt (Q3 FY26)	ZERO (net cash Rs. 190 Cr)	Improvement	Company is net-cash positive — balance sheet strength confirmed by CFO and CRISIL upgrades.

CONCALL SECTION 8 — Q&A; Heat Map

#	Analyst / Firm	Question	Management Answer	Tone
1	Seema Nayak / ICICI Sec	Timeline of strategic order execution + muted HPC/Private Cloud growth?	Q4 execution pulled to Q3 — guidance intact. HPC/PC growing 20%+ YTD; QoQ lumpy by design.	Transparent

#	Analyst / Firm	Question	Management Answer	Tone
2	Nishant Gupta / Kotak PMS	How will India AI Mission budget evolve? Win% within new orders?	Govt focus "phenomenal" — PM at AI Impact Summit. Two procurement tranches; Phase 1 started; Phase 2 pending.	Bullish
3	Renu Baid / IIFL Capital	DRAM/HBM shortage impact on BOM and margins on fixed-price orders?	"Minimally impacted" via proactive supply chain. Priority access from long-term vendor relationships.	Transparent
4	Renu Baid / IIFL Capital	Organic growth only 6% YoY in Q3 — capacity/capacity pipeline for 30-40% organic CAGR?	Order book Rs. 525 Cr organic + Rs. 300 Cr L1. No capacity constraint. Large order lumps push smaller orders to next quarter.	Transparent
5	Vinay Menon / Monarch Cap	Margins compressed — expect same for 2-3 quarters during strategic order execution?	Yes; strategic orders are 200bps lower at PBT. Organic margins remain 13%+. Confirmed guidance range.	Transparent
6	Vinay Menon / Monarch Cap	ASIC/custom chip risk — Google, Broadcom — affecting NVIDIA GPU demand?	"At tip of iceberg" on AI. Open to all architectures — not married to NVIDIA. Will pivot if market demands.	Balanced
7	Anand B / Sema Wealth	Quantum computing plans?	"Working in background. Will disclose when ready." No timeline — confidential for competitive reasons.	Hedged
8	Onkar Ghugardare / Sri Inv	What could go wrong? Black swan risks?	"12 quarterly results, every quarter we have grown consistently... I don't see any major challenge ahead."	Bullish

Dodged Questions to Watch Next Quarter: (1) Specific revenue guidance for FY26 full year (management avoids precise annual targets); (2) Quantum computing timeline; (3) Promoter stake reduction plans (not directly asked but notable trend).

CONCALL SECTION 9 — Risks Flagged

Risk	Flagged By	Probability	Impact	Timeline
DRAM/HBM shortage affecting BOM cost on fixed-price orders	Analyst (Renu Baid)	MEDIUM	MEDIUM	Near-term (1-2Q)
Organic growth slowdown due to large-order lumpiness	Analyst (Renu Baid)	MEDIUM	LOW	Structural (QoQ)
India AI Mission budget execution pace	Multiple analysts	MEDIUM	HIGH	12-18 months
ASIC/custom chip displacement of NVIDIA GPUs	Analyst (Vinay Menon)	LOW (3-5yr)	HIGH	Long-term
Copper/commodity price impact on data center deployment	Analyst (Aman Soni)	LOW	LOW	Ongoing

CONCALL SECTION 10 — Analyst Verdict (Post Q3 FY26)

Scorecard Item	Status	Evidence
1. Revenue Visibility	INTACT	Order book Rs. 2,259 Cr + pipeline Rs. 4,432 Cr; 30-40% organic CAGR guided and maintained
2. Margin Trajectory	INTACT	13%+ EBITDA sustainable on organic; strategic order drag disclosed and quantified (200bps)
3. Capital Allocation Quality	INTACT	ROCE 37.5%; zero capex growth path; FCF turned positive; dividends maintained
4. Competitive Moat	INTACT	Sole NVIDIA OEM; full-stack ownership; 25yr government relationships; 15 Top500 rankings
5. Management Credibility	INTACT	12th consecutive growth quarter post-IPO; proactive disclosure of order timing changes; no earnings management signs
6. Valuation Comfort	WATCH	PE 112x TTM is rich; justified by 90% revenue CAGR but requires sustained execution delivery to hold

Conviction Call	Valuation Snapshot (vs. 5Y avg)
INCREASED — Q3 FY26 demonstrates strategy execution at scale. AI segment breakout validates multi-bagger thesis. Accumulate on dips to Rs. 3,800-4,100. Hold with 12-18 month horizon targeting Rs. 4,600.	P/E: 112x (5Y avg N/A — listed Jul 2023) EV/EBITDA: 75.2x ROCE: 37.5% (vs. 5Y avg 41.6%)

Source: Screener.in | Ticker: NETWEB | View: Standalone | Transcript: Accessible (Q3 FY26 via AlphaStreet.com) | Concall Date: January 19, 2026 | Q4 FY26 call scheduled May 4, 2026 IMPORTANT DISCLAIMER: This report is for informational purposes only and does not constitute investment advice. Past performance is not indicative of future results. Please consult a SEBI-registered investment advisor before making investment decisions. All financial data sourced from Screener.in (standalone figures) and public sources as of 03-May-2026. Forward estimates (E) are analyst projections and may differ materially from actual results.